

in the business. The income and cash flow statements tell us how much they are earning off that capital. So, if a Chipotle store costs \$700,000 to open and it generates \$250,000 a year in free cash flow, it's a damn good business. Every three years it can take that cash flow and open another Chipotle. When it starts franchising, the return on invested capital is exponentially higher.

Throughout history, kings have sought to build heavily fortified castles with ever-widening and deeper moats. At the same time, the marauding invaders continued to attack unabated and have endlessly improved the tools, techniques, and armies at their disposal to capture these prize castles. It is virtually a law of nature that no matter how well fortified and defended a castle is, no matter how wide or deep its moat is, no matter how many sharks or piranha are in that moat, eventually it is going to fall to the marauding invaders. Throughout history, every great civilization and kingdom has eventually declined.

The businesses mentioned earlier as having narrow or nonexistent moats—Delta, Gateway, General Motors—all had pretty formidable moats at one time. They have all eroded over time, just like the most well-defended castle eventually falls into the enemy's hand. Here is Charlie Munger's take on it:

Of the fifty most important stocks on the NYSE in 1911, today only one, General Electric, remains in business. . . . That's how powerful the forces of competitive destruction are. Over the very long term, history shows that the chances of any business surviving in a manner agreeable to a company's owners are slim at best.¹

—Charlie Munger